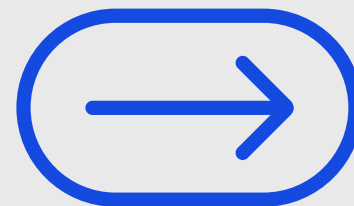


RETENTION PLAYBOOK



Presented by HARSH NEGI

Objective

Gradually eliminate discounts for **promo-dependent** segments without hurting total revenue — while protecting and expanding the **organic loyalist base**



Topics

- Promo Sunset Plan
- Ideal Customer Profile



Segment by Segment Action Plan

Segment 1 — High-Risk Promo Addicts

HARD SUNSET

341 customers · dependency_score = 3 , 8.68% revenue (\$20,229)

Trigger: A promo code was applied on every qualifying purchase — 100% discount dependency by construction

Metric: Revenue per customer monthly. Pause sunset if avg ticket < \$40 | **Trade-off:** Will lose an estimated 15 200 customers. Revenue loss ~\$8-10K, but margin saved on discounts offsets this.

Segment 2 — Moderate Promo Hunters

GRADUAL SUNSET

1,336 customers · dependency_score = 1-2 , 33.97% revenue (\$79,182)

Trigger: Used a promo on their recorded purchase, but each shows an offsetting signal — a subscription, infrequent buying, or both — so the promo habit isn't fully entrenched.

Metric: Repeat purchase rate without promo. **Target:** maintain >45% repeat rate | **Trade-off:** Risk of 15-20% volume drop short term. Long term converts some into organic loyalists.

Segment 3 — Pure Organic Loyalists

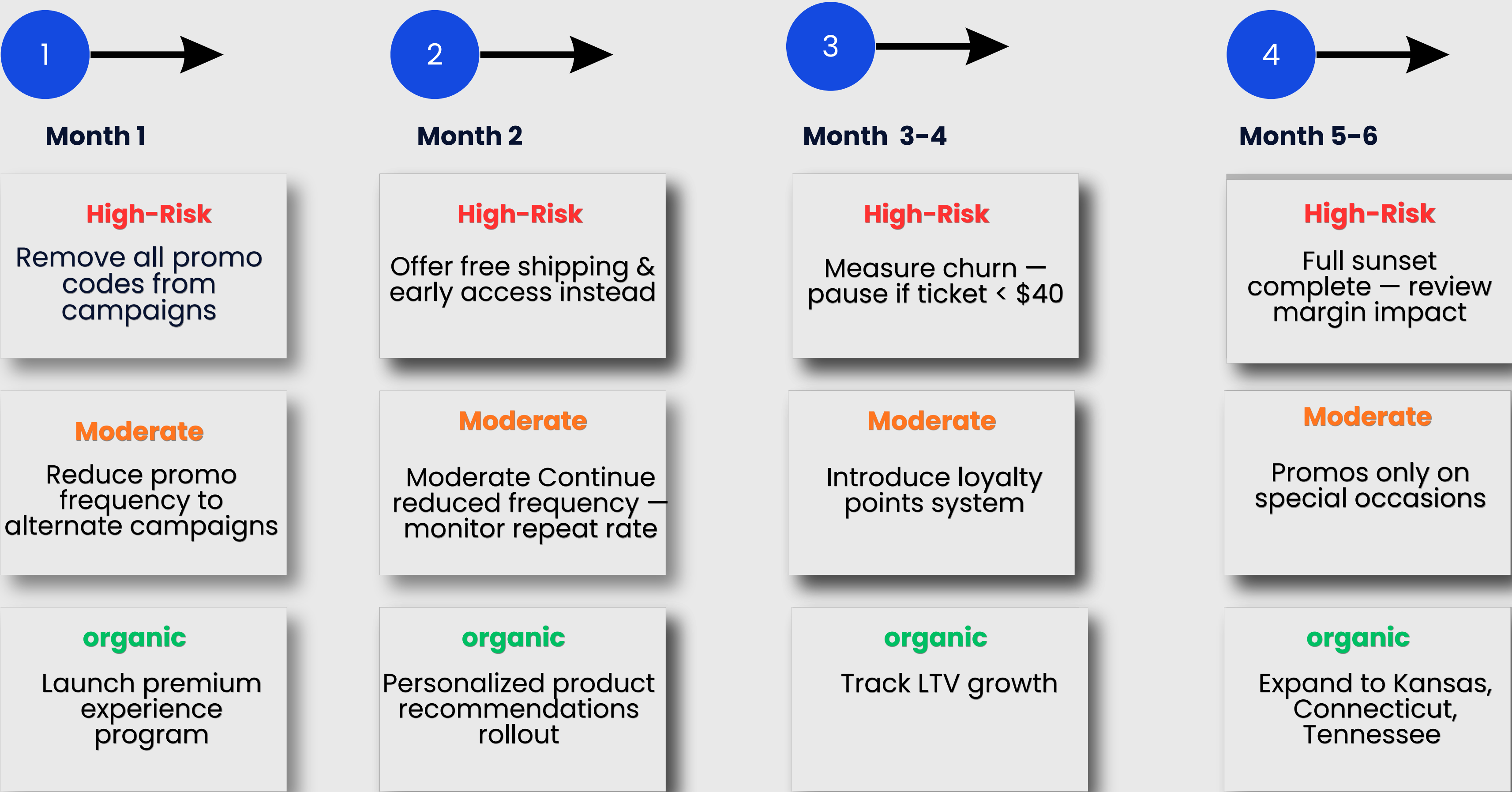
PROTECT & GROW

2,223 customers · dependency_score = 0 , 57.35% revenue (\$133,670)

Trigger: Never uses discount codes — genuine brand affinity.

Metric: Avg LTV growth quarter on quarter | **Trade-off:** Offering unprompted discounts trains them to wait for deals — protect organic behavior at all costs.

Rollout Timeline



Data-Backed Profile for Marketing Targeting

HOW MARKETING CAN USE THIS TODAY

1

Paid Ads Targeting

Target Kansas, Connecticut & Tennessee. Zero discount messaging — lead with premium brand story, not price. Skip age-based targeting — age doesn't meaningfully differ between High-Value and base customers.

2

Lookalike Audiences

Upload the 563 validated High-Value + Organic customer list (Definition C) to Meta/Google Ads — this is the segment that tested highest on revenue correlation and satisfaction of any definition tried, not just the broader value tier.

3

Acquisition Messaging

This customer does NOT respond to SALE headlines. Lead with quality, craftsmanship, and brand identity.

4

Channel Strategy

No single payment method or shipping channel skews toward High-Value customers (all tested, none significant) — prioritize behavioral checkout triggers for repeat, non-promo buyers over channel-specific targeting.

HIGH-VALUE ORGANIC BUYER

Definition C: High-Value & Organic
(Validated Hybrid)

Segment Size	563 (14.4% of base)
romo Usage	Zero — never discounts
Avg LTV	\$3,196
Geography	Kansas / Connecticut / TN
Satisfaction	3.80 avg rating
Entry Category:	Clothing (345 orders)

THE PLAYBOOK IN ONE LINE

**Stop discounting the wrong customers.
Start investing in the right ones.**